

PROPOSAL · VERSION 2

Climate decision analysis for Larkspur Foods

What changed after we read your records, and the scope on one page

To Marcus Webb, COO & Chief Supply Chain Officer, and Priya Natarajan, Chief Financial Officer · From Windward Risk Advisors · 24 September 2026

Version 2 replaces the 18 September proposal in the points set out here. Everything not mentioned stands as written: the five-step method, the three deliverables, how we check the work, and the fee.

Windward Risk Advisors is a simulated firm created for the Climate Risk Residency. Larkspur records are simulated; climate data referenced is real.

What breaks, what it costs, and what is cheap to fix before the date it matters

Ten dependencies ranked by revenue and contribution at stake against buffer, contract and insurance position. Three workstreams carry them; a fourth is bounded. Rank chips: **1** critical, **4** serious, **8** watch.

WORKSTREAM 1 Supply DEPENDENCIES 2 Central Valley growers in overdrafted basins feed Fresno and Merced; two contract forms allocate drought cost differently 3 Arizona winter program on Colorado River priority and Pinal groundwater, three days of buffer 7 2027 launch leans on Yakima berries with junior rights and a correlated Oregon alternate 10 Natural colors, highest-margin line, thin sourcing DECISIONS AND DATES - Arizona acreage notice, 1 September - FY2027 berry contracts for the March 2027 launch 2027 crop-year renewals: harmonise the grower forms COUNTERPARTS - Elena Ruiz; Tom Lindqvist; Carol Anders EVIDENCE - Dry and wet West bracketed from model spread; 2021–22 and 2023 analogs; allocation history; Colorado River guidelines	WORKSTREAM 2 Operations and outside services DEPENDENCIES 1 One aseptic co-packer in Gonzales fills 60% of Beverage 5 San Antonio bottling on an interruptible power rider and a capped aquifer permit 6 Fargo pea protein on one rail spur across the Red River floodplain 8 Salinas crews already lose days to heat 9 One national distribution centre serves all three divisions DECISIONS AND DATES - Qualify a second aseptic site: decide Q4 2026 (6 to 9 month clock) - Where staged inventory sits in hurricane season - San Antonio Line 3 under the capex cap - Rail and truck pre-booking before spring; crew heat plan for 2027 COUNTERPARTS - Marcus Webb; Dana Okafor; plant managers EVIDENCE - Gulf landfall and outage history (Ida, Laura); ERCOT and Uri; Red River 1997 and 2009; heat-day counts at six sites, three models	WORKSTREAM 3 Finance and insurance DEPENDENCIES 4 Springing covenant tested at the October revolver peak; insurance program re-underwritten now - The financial line of every dependency in the other columns DECISIONS AND DATES - Renewal submission, September; renewal 1 October - Lender ESG questionnaire, physical-risk section, Q3 - Covenant test, October - Revolver refinancing December 2027; term loan June 2028 COUNTERPARTS - Priya Natarajan; David Chen; Sarah Whitfield-Gray; placing broker EVIDENCE - Every scenario expressed as EBITDA against headroom, leverage after, insurance recovery net of deductibles, sublimits and waiting periods	WORKSTREAM 4 · BOUNDED Beverage demand QUESTION - Does heat move beverage sales enough to change what is stocked where, and when? DECISION - Placement and timing for the launch and summer plans COUNTERPART - Dana Okafor; demand planning EVIDENCE - Real NOAA station weather. Sales are synthetic until retailer point-of-sale data arrives; used only to prove the method, never as a finding. Disclosed wherever shown. LIMIT - Fixed share of effort; stops at the week-4 checkpoint if no POS data	
Method Dependencies → scenario conditions (high and low, analogs scaled) → calibrate where history exists → financial statements and covenant → actions by cost and date	Deliverables Vulnerability and scenario tool · decision briefs per dated decision · methodology and ERM pack (disclosure mapping last)	Time Eight weeks. Renewal memo week 1 · gate week 2 · CFO checkpoint week 4 · recommendations week 6 · handover week 8	Fee USD 200,000 fixed. 40 / 30 / 30 at kick-off, week 4, handover. Specialists supplied by Larkspur	Governance Working group chaired by the COO; Treasurer owns the financial yardstick; lands in the audit committee's ERM review

Not in scope: structural damage estimates · a probability for any scenario · Ingredients customers' own demand · disclosure preparation itself (we supply the evidence and say what reporting would still need).

Your records changed the picture in three ways

The largest exposures are not fields

The 18 September proposal organised the work around crops. Ranked by money at stake against buffer and cover, the first dependency is a single contract manufacturer and the fourth is a loan covenant. Only two of the top five are growing regions.

The calibration data is not in the records

We asked for five to ten years of monthly purchase data and daily point-of-sale sales. The pack holds two years of division results, contract excerpts, an insurance summary and a credit agreement. Calibration now runs on 2021 to 2023 incident actuals we will request, not on long series.

The nearest decisions belong to finance

The board minutes date them: the September insurance submission, the lender's Q3 questionnaire, the October covenant test, the launch in March 2027. The Treasurer and General Counsel own those, so the proposal is now addressed jointly to the COO and the CFO.

Confirmed from your memo: three businesses on three clocks (Produce ships within three days of pack, Beverage carries 27 days of finished goods, Ingredients 38); redundancy on paper that is not independent (Oregon growers sat under the same 2021 heat dome as Yakima; two co-packers but only one aseptic); substitution that is not free (retailer service credits, delisting exposure, customer approval); knowledge that lives in contracts (one grower form carries a 70% clause the other does not).

CHANGE 1

Who the work is for, and who owns it

~~Sponsor: Marcus Webb. Owners to be confirmed at kick-off.~~ **Now:** jointly sponsored by the COO and the CFO. The Treasurer and General Counsel are the principal users of the finance and insurance outputs; the three division presidents and the VP Procurement own the operating decisions.

A working group, proposed. COO (chair), CFO or Treasurer, General Counsel, the three division presidents, VP Procurement, Director of Sustainability. It meets at the week-2 gate and the week-4 and week-6 checkpoints. The Treasurer owns the yardstick every scenario is measured against: EBITDA headroom under the covenant. The audit committee's annual enterprise-risk review is where the work lands.

Decision	Date	Owner
Insurance renewal submission: BI worksheets by location, flood-zone redeterminations	September 2026; renewal 1 October	Sarah Whitfield-Gray with David Chen
Lender ESG questionnaire, physical-climate-risk section	Q3 2026	David Chen with Jonah Park
Second aseptic co-packer: start qualification or not	Q4 2026	Dana Okafor
Arizona acreage notice under PA-2021	1 September, each year	Carol Anders
Prairie Clover launch; FY2027 berry contracts	March 2027	Dana Okafor; Elena Ruiz
Central Valley grower renewals: harmonise MYA-2016 and MYA-2022	2027 crop year	Elena Ruiz
San Antonio Line 3 (\$42M) under the capex cap	When the capital plan reconsiders it	Marcus Webb
Revolver, then term-loan refinancing	December 2027; June 2028	David Chen

CHANGE 2

Scope: from links in the value chain to dependencies ranked by exposure

~~WS1 Sourcing (about three crops) – WS2 Facilities (three to five sites) – WS3 Demand (one category), with a Pareto gate at week 2.~~ **Now:** the gate has run. Ten dependencies, three tiers, three workstreams that carry them, and finance as a workstream in its own right.

Rank	Dependency	Division	Tier	Workstream
1	One aseptic co-packer fills 60% of Beverage; \$10M contingent BI with a 30-day wait	Beverage	Critical	Operations
2	Central Valley growers in overdrafted basins feed Fresno and Merced; \$204M of contracts on two forms	Ingredients	Critical	Supply
3	Arizona winter program on Colorado River priority and Pinal groundwater; \$48M of \$72M on junior priority	Produce	Critical	Supply
4	Covenant tested at the October revolver peak; \$59M of headroom; insurance re-underwritten now	Corporate	Serious	Finance
5	San Antonio bottling on an interruptible rider and a capped aquifer permit	Beverage	Serious	Operations
6	Fargo pea protein on one rail spur across the Red River floodplain	Ingredients	Serious	Operations
7	2027 launch leans on Yakima berries with junior rights and a correlated Oregon alternate	Beverage	Serious	Supply
8	Salinas crews already lose days to heat; plant near the 2023 flood	Produce	Watch	Operations
9	One national distribution centre serves all three divisions	Corporate	Watch	Operations
10	Natural colors, the highest-margin line, traces to a handful of Central Valley crops	Ingredients	Watch	Supply

Critical tier: full scenario sets. Serious: bounded scenarios. Watch: missing-fact checks only, promoted if a fact changes the picture.

CHANGE 3

Beverage demand stays, bounded, with the synthetic test disclosed

~~First workstream to drop or defer; needs daily point-of-sale sales by store.~~ **Now:** a small, fixed-effort workstream that answers one question: does heat move beverage sales enough to change what is stocked where, and when?

What the records contain. No point-of-sale data, no store lists, no customer geography. Beverage revenue by line for one year, and the named retail accounts.

How it runs until retailer data arrives. On a synthetic daily sales set built on real NOAA station weather for ten metros, reconciled to your FY2025 beverage totals, with the heat response written down in advance as an answer key. Its only purpose is to prove that the calibration step can recover a known signal after controlling for weekday, season, promotions and the school calendar. **No conclusion about Larkspur's demand is drawn from synthetic sales, and every page that shows it says so.**

Limit. A fixed share of effort. If point-of-sale data from Lakemont or Fairmount has not arrived by the week-4 checkpoint, the workstream stops with the method note as its output and the effort moves to the supply and operations tiers. Fee unchanged either way.

CHANGE 4

Method: the same five steps, pointed at what breaks and what it costs

Step	18 September	Now
1 Dependencies	Prioritise crops, sites and products; write an assumptions register	Locations, activities and outside services including lenders and insurers; acute, chronic and combined conditions; how long each decision matters. Delivered 25 September as the vulnerability assessment.
2 Scenario conditions	One central pathway (ssp245), three models, 30-year windows	Bracket the high and the low the models disagree on (a dry West and a wet West). Scale historical analogs: Ida 2021, the February 2021 grid failure, the 2021 heat dome, the 2021–22 drought at 2030 allocations, the 2023 Tulare reflood, the 1997 and 2009 Red River floods. One named stress case: warming arrives sooner. Three models still shown as three lines.
3 Calibrate	Against five to ten years of monthly series	Against the 2021, 2022 and 2023 incident actuals you supply: grower protection paid, replacement premium, crew-days lost, curtailed hours, service credits. A null result is still reported.
4 Financial statements	Cascade to margin, COGS and lost sales	Revenue, expenses, balance sheet (inventory, revolver draw), insurance recovery net of deductibles, sublimits and waiting periods, EBITDA against covenant headroom, leverage after. Not a probability: a range, and whether the range uses the headroom.
5 Actions	Which action holds across the model spread	Cost of the action against exposure removed, by decision date. Cheap and certain first: move staged inventory off the Gulf in hurricane season, bring the Arizona notice forward, name the co-packer as a dependent property. Capital decisions (second aseptic site, Line 3) shown with the scenario set that justifies or defers them.

We keep pulling and graphing climate data every week: precipitation and allocation history for the Central Valley and Yuma cells, Gulf landfall and outage records, station heat-index data for Salinas.

CHANGE 5

Time frame: eight weeks, re-sequenced to your calendar

Week	Milestone	Ties to
1	Kick-off. Missing-facts request. Renewal memo to the General Counsel and Treasurer: BI worksheet inputs from the dependency map; flood-check list for Fargo, Gonzales and Salinas	September submission, 1 October renewal
2	Gate. Working group confirms the ranking and the missing facts. Lender questionnaire inputs	Q3 questionnaire
3–4	Critical-tier scenarios: co-packer, Central Valley, Arizona. High and low, analogs scaled, priced against headroom	Q4 second-co-packer decision
4	Checkpoint with the CFO and Treasurer: covenant and insurance view. Beverage demand continues or stops	October covenant test
5–6	Serious tier. Actions compared by cost and date	2027 renewals; Arizona notice; launch sourcing
6	Checkpoint. Recommendations by decision date	
7	Tool and decision briefs for sponsor review	
8	Handover. ERM pack for the audit committee. Half-day with the working group	Annual enterprise-risk review

~~Earliest useful answer: the priority list at week 2.~~ **Now:** the renewal memo at week 1 and the covenant view at week 4.

The priority list is already delivered.

CHANGE 6

Deliverables: same three, renamed to the decisions they serve

#	18 September	Now	Who uses it
1	Climate Decision Tool: priorities, conditions, consequences, actions	Vulnerability and scenario tool. Dependencies → scenario conditions → financial statements and covenant → actions by decision date. The 25 September assessment is its first version. Includes the living missing-facts register.	Working group; Treasurer's team re-runs it
2	Playbooks, one per recurring process	Decision briefs , one per dated decision on the calendar: renewal submission, second co-packer, Arizona notice, grower forms, Line 3, refinancing	The named owner of each decision
3	Methodology and disclosure guide, mapped to IFRS S2 and TCFD	Methodology and ERM pack. Audit committee pack first, lender questionnaire response second, IFRS S2 and TCFD mapping last	CFO, audit committee, Director of Sustainability

Everything remains Larkspur's on handover, opens in a browser, and re-runs without Windward's software.

CHANGE 7

What we need from you: facts, actuals and your own specialists

~~Monthly purchase series, daily point of sale sales, site coordinates, facility manager interviews; agronomist and legal review at cost.~~ **Now:**

Input	Examples	From	By
The missing-facts register (14 items)	Backup generation at Gonzales and what happened there in Ida; any partly qualified second aseptic filler; whether the contingent BI responds to an unnamed contract manufacturer; whether a groundwater cut is a declared drought under MYA-2016 §7.3; whether the flood redeterminations move Fargo, Gonzales or Salinas into a hazard area; revolver usage by month	The named owner of each fact	Week 2
Incident actuals, 2021 to 2023	Grower protection paid, replacement premium, crew-days lost, curtailed hours, service credits, by year	Priya Natarajan; division presidents	Week 3
Grower and site locations	Schedule F water-source records and parcel maps; elevation certificates where they exist	Elena Ruiz; plant managers	Week 3
Specialists	Coverage counsel or the placing broker; water-rights counsel; agronomist review of thresholds	Larkspur, from advisers already retained	As the questions arise

No specialist fees are in the price. We write the questions and tell you which answer would change the recommendation; your advisers answer them.

WHAT DOES NOT CHANGE

Fee, duration, deliverables and how we check the work

- **Fee.** USD 200,000 fixed, eight weeks. 40% at kick-off, 30% at the week-4 checkpoint with the CFO, 30% at handover. The workstream changes are effort-neutral. The basis shifts from data pulls and long-series calibration, which the tooling now does quickly, toward confirming facts with named owners and working-group time.
- **Three deliverables**, everything Larkspur's on handover.
- **Assurability.** Every figure traces to a document in your pack or a public dataset with provenance. Scenario arithmetic sits in a model file your Treasurer's team can read and re-run. Audit trail is not assurance; we advise, we do not assure.
- **Honesty about limits.** No probability from three models. No forecast for a given year. No attribution of a past season to climate change. A null result is reported. "Your buffers hold" is an acceptable answer.
- **Why Windward.** Built in Claude Code so it lives in your environment. We read all twenty documents in your pack and found the co-packer and the covenant before the first meeting. We work with your Treasurer and your broker as readily as with procurement.

Effect on timeline and fee, in one paragraph. Scope moves from three value-chain workstreams to the ten dependencies your records revealed, ranked by financial exposure, with finance and insurance as a workstream of its own and beverage demand kept small and bounded. Duration stays eight weeks, re-sequenced so the first outputs reach the September insurance submission and the October covenant test. The fee is unchanged. Specialist review is supplied by Larkspur rather than priced in.

END

Windward Risk Advisors

Version 2, 24 September 2026. The 18 September proposal remains available for the unchanged elements. The vulnerability assessment of 25 September is the first delivered component of this scope.

Simulated engagement for the Climate Risk Residency. Climate data referenced is real; Larkspur records and Windward credentials are simulated.